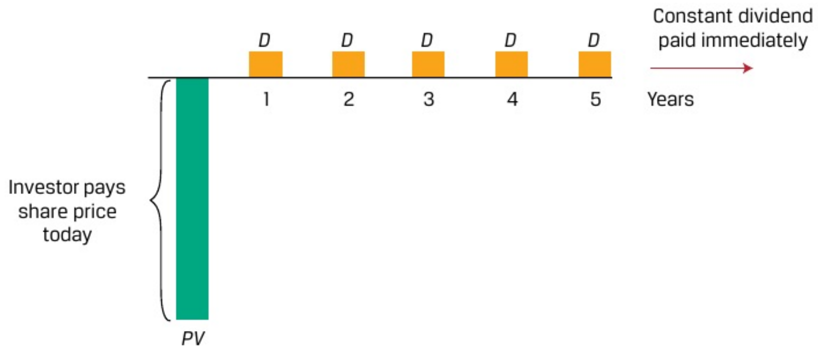
Exhibit 4: Equity Cash Flows with Constant Dividends



The price of a preferred or common share expected to pay a constant periodic dividend is an infinite series that simplifies to the formula for the present value of a perpetuity shown and is similar to the valuation of a perpetual bond that we encountered earlier. Specifically, the valuation in Equation 7:

$$PV_t = \sum_{i=1}^{\infty} \frac{D_t}{(1+r)^i}, \text{ and} \tag{9}$$

$$PV_t = \frac{D_t}{r}. \tag{10}$$

EXAMPLE 6

Constant Dividend Cash Flows

Shipline PLC is a company that pays regular dividends of GBP1.50 per year, which are expected to continue indefinitely.

1. What is Shipline's expected stock price if shareholders' required rate of return is 15 percent?

   Solution:

   GBP10
   Solve for PV using Equation 10, where D is GBP1.50 and the rate of return per period r is 15 percent:

   PV = GBP10.00 = GBP1.50/0.15.

Alternatively, a common equity forecasting approach is to assume a constant dividend growth rate (g) into perpetuity, as illustrated in Exhibit 5.